

ε_{it} – represent the unobserved regression residual.

Equation 1 was estimated using the Roodman (2009) technique, where forward orthogonal deviations are used to restrict over-identification or limit instrument proliferation. Consistent with Bruno et. al. (2012); Asongu and Odhiambo (2020) the number of control variables was limited to avoid estimations that do not pass the post-estimation diagnostics of instrument proliferation.

Results and discussion

The results and a discussion thereof are presented in this section.

Descriptive statistics

Table 2. Descriptive Statistics

Variables	Mean	Median.	Maximum	Minimum	Std. Dev	Obs
PCREDIT	24.86871	15.83484	142.4220	0.000000	25.91321	619
INEQ	0.452386	0.436409	0.659063	0.317484	0.072541	619
NATRENT	9.843917	7.027306	67.88997	0.001172	10.07008	619
CCORR	-0.520283	-0.629166	1.633352	-1.581135	0.670152	619
GDPg	3.781328	4.237781	86.82675	-50.33852	6.616158	619
REGQ	-0.568969	-0.544541	1.196947	-2.282205	0.626437	619
TRADEOP	66.53622	57.82929	342.4870	0.784631	36.12110	619
UNEMP	8.349113	5.648000	33.55900	0.320000	7.087617	619

Source: author's work using Eviews based on Gujarati (2022).

Private credit as a percentage of the respective countries gross domestic product in the countries under study ranges from minimum 0.0 to a maximum of 142.42 with a standard deviation of 25,91. The countries in this sample are among the countries with globally higher level of inequality. The maximum level of inequality is 0,659 with a minimum of 0,317. Estimates of regulation quality and control of corruption in these countries have a minimum of -2,282 and -1.581, respectively. The standard deviation of unemployment is 7,087, and the maximum level of unemployment is 33,559. The average rate of unemployment of 8.349 does not represent the sustainable development goal of decent work and sustainable growth as the target unemployment rate in the sustainable development goals of near zero unemployment (United Nations, 2015).